

UNIT 4

Balance of Payments Meaning

Balance of payments is a systematic record of all economic transactions that take place between the residents of a country and the rest of the world during a specific period of time usually one year. It records all payments and receipts related to trade in goods services transfer payments and capital movements between a country and other countries.

Balance of payments shows the financial position of a country in relation to other nations. It helps to understand how much a country earns from exports and other international activities and how much it spends on imports and other foreign payments. The balance of payments is an important indicator of the economic relationship between a country and the rest of the world.

The balance of payments includes all international transactions such as exports and imports of goods services foreign investments loans gifts and remittances. Every transaction in the balance of payments has two sides a credit entry and a debit entry. Credit entries represent receipts from foreign countries while debit entries represent payments made to foreign countries.

Balance of payments helps governments and economists analyze international trade financial flows and economic stability. It also helps in formulating economic and trade policies to maintain a stable external economic position.

Components of Balance of Payments

Balance of payments is generally divided into two main accounts which are current account and capital account.

Current account records transactions related to trade in goods and services income from investments and unilateral transfers such as gifts and remittances. It includes exports and imports of goods known as visible trade and services such as banking insurance tourism and transportation known as invisible trade.

Capital account records international movements of capital such as foreign direct investment portfolio investment loans and financial transfers. It shows the flow of capital between countries.

Sometimes an additional account called official reserve account is included which records changes in foreign exchange reserves held by the central bank.

Importance of Balance of Payments

- It shows the economic transactions of a country with the rest of the world
- It helps to analyze the strength of the national economy
- It indicates the position of exports and imports of a country
- It helps governments formulate trade and monetary policies
- It shows changes in foreign exchange reserves

Causes of Balance of Payments Disequilibrium

Excessive imports compared to exports
Changes in international prices and demand
Economic recession or inflation
Political instability and changes in exchange rates
Large capital outflows from the country

Measures to Correct Balance of Payments Disequilibrium

Encouragement of exports
Control of unnecessary imports
Devaluation of domestic currency
Attraction of foreign investment
Adoption of suitable fiscal and monetary policies

Conclusion

Balance of payments is an important economic statement that records all international transactions of a country with the rest of the world. It helps to understand the economic position of a nation in global trade and finance. By analyzing the balance of payments governments can take appropriate measures to maintain economic stability and promote balanced international trade.

Structural Disequilibrium in Balance of Payments and its Adjustment Mechanism

Balance of payments is a systematic record of all economic transactions between a country and the rest of the world during a specific period of time. When the total payments of a country exceed its total receipts a situation of deficit occurs. When receipts exceed payments a surplus occurs. When such imbalance continues for a long period it is called disequilibrium in balance of payments.

Structural disequilibrium is one of the important types of disequilibrium in balance of payments. It occurs because of fundamental changes in the structure of an economy which affect the pattern of exports and imports.

Meaning of Structural Disequilibrium

Structural disequilibrium refers to a long term imbalance in the balance of payments caused by structural changes in production consumption technology or international demand. These changes reduce the ability of a country to export goods and increase the need for imports which leads to persistent deficit in balance of payments.

Structural disequilibrium usually occurs when the structure of the domestic economy does not adjust quickly to changes in international markets or technological developments.

Causes of Structural Disequilibrium

Changes in international demand for export goods
Technological changes in production methods

Development of substitute products in foreign markets
Changes in the pattern of domestic production
Rapid population growth leading to increased imports
Decline in competitiveness of domestic industries

For example if a country mainly exports agricultural products and the world demand for those products declines the export earnings of the country will fall. At the same time the country may continue importing manufactured goods which leads to persistent balance of payments deficit.

Effects of Structural Disequilibrium

Decline in export earnings
Increase in import expenditure
Continuous balance of payments deficit
Pressure on foreign exchange reserves
Economic instability and slower economic growth

Adjustment Mechanism of Structural Disequilibrium

Structural disequilibrium requires long term adjustment policies because it arises from basic changes in the economic structure.

Diversification of exports
The country should develop new export products and expand into different industries to reduce dependence on a few commodities.

Industrial development
Encouragement of manufacturing industries and technological improvement helps increase production and exports.

Improvement in productivity
Increasing efficiency and productivity in domestic industries helps make goods more competitive in international markets.

Import substitution
The country can reduce imports by producing certain goods domestically.

Promotion of foreign investment
Foreign investment can bring capital technology and management skills which help strengthen domestic industries.

Trade policy reforms
Government may adopt policies that encourage exports such as export incentives infrastructure development and support for export industries.

Conclusion

Structural disequilibrium in balance of payments arises due to long term changes in the economic structure of a country and the world economy. It cannot be corrected quickly

because it requires fundamental adjustments in production technology and trade patterns. By diversifying exports improving industrial development and increasing competitiveness countries can gradually correct structural imbalances and achieve a stable balance of payments position.

Significance of Balance of Payments Data for International Trade

Balance of payments is a systematic record of all economic transactions between a country and the rest of the world during a specific period of time. It includes transactions related to exports imports services income transfers and capital movements. Balance of payments data provides valuable information about the economic relationship between a country and other nations. It helps governments economists and policy makers understand the position of a country in international trade and global finance.

Indicator of international trade position

Balance of payments data shows the value of exports and imports of goods and services. It helps to understand whether a country is earning more from exports or spending more on imports. This information indicates the strength or weakness of the international trade position of a country.

Measurement of economic relations with other countries

Balance of payments data records all financial and economic transactions between a country and the rest of the world. It helps to analyze the economic relations of a country with other nations including trade investment and financial flows.

Formulation of trade and economic policies

Governments use balance of payments data to formulate appropriate trade and economic policies. If the data shows continuous deficit in balance of payments the government may adopt measures such as export promotion import control or currency adjustment to correct the imbalance.

Understanding foreign exchange position

Balance of payments data provides information about the inflow and outflow of foreign exchange. It helps to understand the availability of foreign currency and the changes in foreign exchange reserves. This is important for maintaining stability in international payments.

Evaluation of economic performance

Balance of payments data helps to evaluate the overall economic performance of a country in the global economy. It shows how well a country is performing in international trade investment and financial activities.

Guidance for international investment

Foreign investors often examine balance of payments data before making investment decisions. A stable and strong balance of payments position increases the confidence of international investors.

Identification of economic problems

Balance of payments data helps to identify economic problems such as excessive imports declining exports or capital outflows. Early identification of these problems allows governments to take corrective measures.

Support for economic planning

Balance of payments data is useful for economic planning and development strategies. It helps governments plan export growth import management and foreign investment policies.

Conclusion

Balance of payments data is an important tool for understanding international trade and economic relations between countries. It provides valuable information about exports imports foreign exchange and capital movements. By analyzing balance of payments data governments and economists can formulate effective policies to promote international trade maintain economic stability and achieve sustainable economic development.

Current Account Capital Account and Official Settlement Account

Introduction

Balance of payments refers to the systematic record of all economic transactions between a country and the rest of the world during a particular period. It shows the inflow and outflow of foreign exchange. The balance of payments mainly consists of current account capital account and official settlement account.

Current Account

Current account is a part of balance of payments which records transactions relating to trade in goods services income and transfers between a country and other countries.

Meaning

Current account refers to the account which records exports and imports of goods services income and unilateral transfers without creating future financial obligations.

Components of Current Account

Trade in Goods

It includes export and import of physical goods such as agricultural products machinery minerals textiles and manufactured goods. When exports are greater than imports it is called trade surplus and when imports are greater than exports it is called trade deficit.

Trade in Services

It includes invisible items such as banking insurance tourism transportation communication and other professional services.

Income Receipts and Payments

It includes income earned from investments abroad such as interest dividends and profits and also income paid to foreign investors.

Current Transfers

It includes transfers without any exchange of goods or services such as gifts donations remittances from abroad pensions and foreign aid.

Importance of Current Account

It shows the trade position of a country

It indicates the flow of foreign exchange

It helps the government in making trade and economic policies

Capital Account

Capital account records transactions related to the movement of capital and financial assets between a country and the rest of the world.

Meaning

Capital account refers to the account which records capital inflows and capital outflows such as foreign investments loans and banking capital.

Components of Capital Account

Foreign Direct Investment

Investment made by foreign companies in domestic industries and business activities.

Foreign Portfolio Investment

Investment in shares bonds debentures and other financial securities.

External Borrowings

Loans taken by government and private sector from foreign governments banks and international institutions.

Banking Capital

Transactions of domestic banks with foreign banks.

NRI Deposits and Other Capital Transfers

Deposits made by non resident Indians and other capital movements.

Importance of Capital Account

It helps to finance current account deficit
It increases foreign investment in the country
It supports economic growth and development

Official Settlement Account

Official settlement account records transactions undertaken by the central bank to settle balance of payments deficit or surplus.

Meaning

Official settlement account refers to the account which records changes in official reserves such as foreign exchange reserves gold and special drawing rights.

Components of Official Settlement Account

Foreign Exchange Reserves

Foreign currencies held by the central bank to meet international payment obligations.

Gold Reserves

Gold held by the central bank as part of international reserves.

Special Drawing Rights

International reserve assets created by the International Monetary Fund to provide liquidity to member countries.

Reserve Position in International Monetary Fund

The reserve contribution of a country held with the International Monetary Fund.

Importance of Official Settlement Account

It helps to correct balance of payments disequilibrium
It maintains stability in foreign exchange market
It strengthens international financial position of the country

Conclusion

Current account capital account and official settlement account together form the balance of payments of a country. They help in understanding international economic relations and assist the government in maintaining stability in foreign exchange and international trade.

Balance of Payments Position Surplus Deficit and Equilibrium

Introduction

Balance of payments is a systematic record of all economic transactions between a country and the rest of the world during a specific period usually one year. It includes transactions related to trade in goods services income transfers and capital movements. The balance of payments position may show surplus deficit or equilibrium depending on the inflow and outflow of foreign exchange.

Balance of Payments Surplus

Meaning

Balance of payments surplus occurs when the total receipts from foreign countries are greater than the total payments made to foreign countries.

Explanation

In this situation the country receives more foreign exchange through exports investments services and transfers than it spends on imports and other payments. This leads to an increase in foreign exchange reserves of the country.

Causes of Balance of Payments Surplus

- Increase in exports of goods and services
- Decrease in imports due to domestic production
- Large inflow of foreign investment
- High remittances from citizens working abroad
- Growth in tourism and service sector earnings

Effects of Balance of Payments Surplus

- Increase in foreign exchange reserves
- Strengthening of the domestic currency
- Improvement in economic stability
- Possibility of expansion in international trade

Balance of Payments Deficit

Meaning

Balance of payments deficit occurs when the total payments made to foreign countries are greater than the total receipts from foreign countries.

Explanation

In this case the country spends more foreign exchange on imports services and other payments than it earns from exports and other receipts. This results in a reduction of foreign exchange reserves.

Causes of Balance of Payments Deficit

Excessive imports of goods and services
Decline in exports due to low production or competitiveness
High foreign debt payments
Economic recession in trading partner countries
Political instability and lack of investment

Effects of Balance of Payments Deficit

Decrease in foreign exchange reserves
Depreciation of domestic currency
Increase in foreign borrowing
Economic instability and inflationary pressure

Balance of Payments Equilibrium

Meaning

Balance of payments equilibrium refers to a situation where total receipts from foreign countries are equal to the total payments made to foreign countries.

Explanation

In equilibrium there is balance between inflow and outflow of foreign exchange. It indicates that the country is maintaining a stable position in international trade and financial transactions.

Importance of Balance of Payments Equilibrium

Ensures stability in foreign exchange market
Promotes balanced economic growth
Maintains confidence in the national economy
Encourages healthy international trade relations

Measures to Correct Balance of Payments Deficit

Promotion of exports
Restriction of unnecessary imports
Encouragement of foreign investment
Development of domestic industries
Devaluation of currency and improvement in trade policies

Conclusion

Balance of payments position indicates the economic relationship of a country with the rest of the world. Surplus deficit and equilibrium help to understand the inflow and outflow of foreign exchange and guide the government in making effective economic and trade policies.

Current Account Convertibility and Capital Account Convertibility

Introduction

Convertibility refers to the freedom to convert domestic currency into foreign currency and foreign currency into domestic currency for international transactions. It plays an important role in international trade and financial transactions. Convertibility is mainly classified into current account convertibility and capital account convertibility.

Current Account Convertibility

Meaning

Current account convertibility refers to the freedom to convert domestic currency into foreign currency for transactions related to trade in goods services income and current transfers.

Explanation

Under current account convertibility individuals and businesses can freely buy and sell foreign exchange for imports exports travel education medical expenses and remittances without major restrictions from the government.

Features of Current Account Convertibility

Freedom to make payments for imports of goods and services

Freedom to receive payments for exports

Freedom for foreign travel education and medical expenses

Freedom to send and receive remittances from abroad

Minimal government restrictions on foreign exchange for current transactions

Advantages of Current Account Convertibility

Promotes international trade

Encourages economic growth and development

Improves efficiency and competitiveness of domestic industries

Increases foreign exchange earnings

Strengthens integration with the global economy

India and Current Account Convertibility

India introduced current account convertibility in the year 1994 following the recommendations of the Rangarajan Committee. It allowed residents to freely convert Indian rupees into foreign currencies for current account transactions.

Capital Account Convertibility

Meaning

Capital account convertibility refers to the freedom to convert domestic financial assets into foreign financial assets and foreign financial assets into domestic financial assets without restrictions.

Explanation

Under capital account convertibility capital can move freely across countries for investments loans and financial transactions.

Features of Capital Account Convertibility

- Freedom for foreign direct investment
- Freedom for portfolio investment in shares and bonds
- Freedom to borrow and lend funds internationally
- Freedom to transfer capital assets between countries

Advantages of Capital Account Convertibility

- Encourages foreign investment
- Improves availability of capital for economic development
- Promotes efficient allocation of financial resources
- Strengthens integration with global financial markets

Risks of Capital Account Convertibility

- Possibility of sudden capital outflow
- Financial instability during economic crises
- Exchange rate fluctuations
- Risk of speculative capital movements

India and Capital Account Convertibility

India has not fully adopted capital account convertibility. The government and the Reserve Bank of India follow a gradual and cautious approach to maintain financial stability.

Conclusion

Current account convertibility and capital account convertibility are important aspects of international financial transactions. Current account convertibility promotes trade and economic development while capital account convertibility facilitates investment and capital flows. However proper regulation is necessary to maintain economic stability and protect the financial system.